

LT Credit: High-Priority Site and Equitable Development

This credit applies to

- ▶ BD+C: New Construction (1-2 points)
- ▶ BD+C: Core and Shell (2-3 points)
- ▶ BD+C: Schools (1-2 points)
- ▶ BD+C: Retail (1-2 points)
- ▶ BD+C: Data Centers (1-2 points)
- ▶ BD+C: Warehouses and Distribution Centers (1-2 points)
- ▶ BD+C: Hospitality (1-2 points)
- ▶ BD+C: Healthcare (1-2 points)

INTENT

To build the economic and social vitality of communities, encourage project location in areas with development constraints and promote the ecological, cultural, and community health of the surrounding area while understanding the needs and goals of existing residents and businesses.

REQUIREMENTS

NC, CS, SCHOOLS, RETAIL, DATA CENTERS, WAREHOUSES & DISTRIBUTION CENTERS, HOSPITALITY, HEALTHCARE

Option 1. High Priority Site (1 point BD&C except Core and Shell, 2 points Core and Shell)

Path 1. Economically Disadvantaged Community Location (1 point BD&C except Core and Shell, 2 points Core and Shell)

Locate within one of the following areas

- ▶ Census tract* in which average household income is at or below 80% AMI
- ▶ Census tract in which at least 20% of population is at or below poverty rate of state, provincial, or other regional jurisdiction
- ▶ Census tract in which unemployment is at least 150% of the state, provincial, or other regional jurisdiction.

*or local equivalent government-defined municipal tract for projects outside the U.S.

OR

Path 2. Brownfield Remediation (1 point BD&C except Core and Shell, 2 points Core and Shell)

Locate on a *brownfield* where soil or groundwater contamination has been identified, and where the local, state, or national authority (whichever has jurisdiction) requires its remediation. In cases of voluntary remediation by the project team, provide confirmation by the local, state, or national authority (whichever has jurisdiction) to verify that the site is a brownfield. Perform remediation to the satisfaction of the relevant authority.

AND/OR

Option 2. Equitable Development (1 point BD&C except Core and Shell, 2 points Core and Shell)

Path 1. Equity & Community Benefits (1 point BD&C except Core and Shell, 2 points Core and Shell)

Develop and implement an equity plan.

OR

Path 2. Affordable Housing in Residential or Mixed-Use Projects (1 point)

Include a proportion of new rental and/or for-sale dwelling units priced for households earning less than the area median income (AMI). Rental units must be maintained at affordable levels for a minimum of 15 years. Existing dwelling units are exempt from requirement calculations. Meet or exceed the minimum thresholds in Table 1. Projects must meet or exceed the minimum percentage of units mandated through inclusionary zoning by their local jurisdictions.

Table 1. Minimum affordable units

Rental Dwelling Units	10 percent of total rental units (or at least one unit) priced up to 60% AMI
For-Sale Dwelling Units	5 percent of total for-sale units (or at least one unit) priced up to 80% AMI

GUIDANCE

Refer to the LEED v4 reference guide, with the following additions and modifications:

Behind the Intent

Beta Update

Option 1 – Path 1 promotes the social and economic revitalization of economically depressed or disadvantaged communities by rewarding the location of certain appropriate projects on such sites. Many low-income communities have sites that are vacant or underutilized because of perceived stigmas or economic barriers. Such projects also achieve savings because they are served by existing infrastructure.

Option 1 – Path 2 promotes the redevelopment of contaminated sites, where hazardous materials are removed from a site's soil or groundwater, thereby reducing the exposure of humans and wildlife to environmental pollution and improving environmental health. Contaminated site redevelopment often reduces the footprint of the project's elements, with a redevelopment site using an average of 78% less land than the same project would if it were built on a greenfield.¹

Option 2 – Path 1 encourages any and all members of the project team to promote and further social equity by integrating strategies that address identified social and community needs and disparities within a project's own community. In order to go beyond charity to support meaningful transformation, building teams must begin to understand the various parts of their communities and understand how they are connected, and community members (particularly those who are vulnerable, disadvantaged and under-represented) must have a greater voice in decisions that impact them.

Option 2 – Path 2 recognizes careful pricing of units to accommodate underserved populations and reflect the area's income context. Project teams begin by setting goals for the income level or levels they would like to serve. These target incomes are tailored to the project's location, using the area's median income as a baseline.

¹ Deason, J.P., G.W. Sherk, and G.A. Carroll, Public Policies and Private Decisions Affecting the Redevelopment of Brownfields (Environmental and Energy Management Program, George Washington University, 2001).

Step-by-Step Guidance

Option 1 – Path 1. Economically Disadvantaged Community Location

Step 1. Determine baseline metrics for income, unemployment, and/or poverty:

For projects located in the U.S., refer to the U.S. Census American FactFinder. For projects located in Canada, refer to Statistics Canada. Projects located in other countries should refer to the relevant national or regional agency responsible for demographic data reporting.

Obtain the baseline metric(s) for the state, provincial, or regional jurisdiction in which the project is located.

Step 2. Determine income, unemployment, and poverty rates for project site(s).

Using the same data source(s), obtain the (metrics) for the census tract or equivalent, government-defined municipal tract in which the project is located.

Step 3. Calculate the threshold rate

Compare the census tract rate to the regional rate to determine if income, unemployment, or poverty rates for the project's census tract meet the required thresholds in Option 1, Path 1. Projects must meet the required threshold for **at least one** metric.

Option 1 – Path 2. Brownfield Remediation

Step 1. Identify contamination

As early as possible in the development process, determine the presence of any on-site soil or groundwater contamination.

- ▶ To identify contamination, consult local records, conduct a Phase 1 or Phase 2 environmental site assessment (or a local equivalent), or work with a biologist or environmental scientist.
- ▶ The credit explicitly applies to soil or groundwater contamination. Asbestos and other contaminants inside buildings (whether demolished or remaining) or in debris do not count as contamination under this credit requirement. However, it is recommended that project teams consider these factors in an overall site assessment.
- ▶ If the project is located on a site that has already been completely assessed and remediated, the results of that assessment and remediation may be used toward achievement of this option if complete documentation is provided.

Step 2. Determine applicable remediation requirements

- ▶ Obtain a declaration from the authority having jurisdiction indicating the presence of contamination, and work with that authority to determine the remediation requirements for the contaminated site.
- ▶ If part of the site is found to have contamination, then the entire area within the LEED project boundary is considered a contaminated site.
- ▶ In the U.S., the authority having jurisdiction may be the U.S. Environmental Protection Agency or a state or local government regulatory agency responsible for identification of contaminants and remediation protocols.

Step 3. Complete remediation

- ▶ Remediate the project site to the satisfaction of the authority having jurisdiction. Completing remediation typically involves working with a remediation specialist.

- ▶ Remediation can be a long process. Identifying any contamination and beginning remediation is often just the first step; a site undergoing remediation may therefore receive credit at the time of certification.
- ▶ Many local governments or other authorities will not grant entitlement or other planning approvals until remediation has made the site safe for human occupancy and intended use.

Option 2 - Path 1. Equity & Community Benefits

Step 1. Designate Community Benefits Expert

This credit awards one point to projects that undertake a process to understand who their community includes, identify community needs related to equity for vulnerable populations, and develop and implement strategies for the project to assist the community in meeting those needs. The relationship between building project teams and social equity are complex. This pilot credit is intended as a starting place to help green building projects understand their relationships to the impacted community and implement targeted strategies that address social equity.

Effective community engagement and needs assessments are critical components of social equity. Building relationships and establishing trust can take years of work on the part of skilled practitioners. For some projects, working with community members is an integral part of the design process and improving equitable access is a core part of the project mission. For others, the ability to develop, implement and respond to an effective community engagement and needs assessment process may be beyond their scope or capabilities.

The project team should assess their internal capacity to facilitate an effective and meaningful community assessment and engagement process and identify an expert to lead implementation of this option's requirements. This expert and facilitator may be an existing team member, an additional consultant, or a representative from the community who is brought on as a team member. Consider the specific skills that are needed for your project based on the team's initial understanding of their community, relevant equity topics, and community benefits concepts. For example, if the project necessitates the relocation of community members, the project team should incorporate a relocation expert.

Step 2. Define and Understand Your Community

The foundational step in promoting social equity within the community is to define that community.

From the perspective of building scale projects, communities have both geographic and functional definitions. Geographic communities start with your neighborhood—the people who live and work in and near your project and interact with it by proximity. The exact distance can depend on your setting. In urban environments, it may be everyone living or working within a few city blocks or within a ¼ mile. In rural areas, where the distance between neighbors might be much greater, the radius may be larger. Geographic communities can also extend further out beyond your neighborhood to include your town, city or county. All of these may be relevant.

Functional communities include all of the people who come to your building to work or visit. These people may or may not live nearby. This category includes your employees, contractors, operations staff, and visitors. It may vary significantly depending on the type of project. For example, housing, offices, hotels, schools or retail projects will all have unique combinations of occupants, contractors and visitors.

In new projects, these definitions can be challenging as they may be in flux. For example, if your project may potentially contribute to displacement of people who currently live or work on the site but may not be able to afford to stay, these people should be included in your community assessment. Similarly, if there are employees who have yet to be hired or contracts yet to be

assigned (e.g. for maintenance), these future community members should be included. Both of these groups provide opportunities for meaningful social equity interventions.

In addition, community can be defined by other types of affinities or commonalities, such as age, religion, ethnicity, sexual orientation or gender identity, as well as by income level, homelessness, mental health, or education levels. Your project may choose to focus on one or more of these groups, regardless of their proximity or direct relationship to the project. For instance, projects located in low income or disadvantaged communities might focus on their immediate neighbors, while projects in more affluent communities might focus on workers or visitors who travel to the site from further away.

The purpose of this credit is not just to help improve connections with the various aspects of your community (although that is important). The goal is to focus on the members of your community who are chronically vulnerable, disadvantaged, underserved, or have limited access, and to find ways within your project to begin to address these inequities.

Step 3. Partner with a Local Organization

Identify one or more organizations that work directly with the people of the vulnerable community that you have identified. Engage these organizations as partners to help identify ways that your project can improve social equity for the population they represent.

Qualifying organizations must have a mission and core function focused on increasing access or addressing the needs of vulnerable populations and facilitate direct community engagement activities on a regular basis with their targeted populations. Organizations should ideally have non-profit status, have a local presence and an active relationship with the local target population, and have been active for at least three years.

Examples of acceptable organizations include:

- ▶ Community advocacy groups
- ▶ Social or environmental justice organizations
- ▶ Community development corporations
- ▶ Labor organizations or worker cooperatives
- ▶ Schools and community education institutions
- ▶ Social or human service organizations
- ▶ Health care organizations
- ▶ Housing organizations and organizations serving people experiencing homelessness
- ▶ Food production and access programs
- ▶ Weatherization organizations targeting low income or minority populations
- ▶ Professional and vocational training programs
- ▶ Arts access programs

As a best practice, the project team should engage with this partner organization as early as possible in the design phase and incorporate community representation into their integrative process.

Step 4. Conduct Community Engagement Process

Encourage responsiveness to community needs by involving the people who live or work in the community in project design and planning and in decisions about how it should be improved or how it should change over time.

Develop a community engagement plan and timeline that incorporates a variety of outreach methods, beginning in the design phase, continuing into construction and operations phases, and includes at least one public activity. The process should engage a representative sample of the community, with priority on populations experiencing inequities, served by the partner organization, and affected by the project.

Each community engagement activity must be led by the development team, an expert consultant, or the local partner organization and be directly related to the project.

Record and incorporate the viewpoints and priorities of different stakeholders raised in the community engagement process in project team decision-making, and document community participation in the planning and design process.

For best practices and strategies, see Further Explanation, Community Engagement.

Step 5. Demonstrate Community Benefits

In partnership with stakeholders and the local partner organization, develop a community benefits plan to implement equity-building strategies that reflect the needs and assets of the community identified in Step 2 and 4. Identify implementation steps, milestone dates, measurement methods, and benchmarks to track progress of these strategies into the operations phase. Document implementation of the strategies, as well as the agreement of the partner organization on the community benefits approach.

For best practices and examples of qualifying strategies, see Further Explanation, Demonstrating Community Benefits.

Option 2 – Path 2. Affordable Housing in Residential or Mixed-Use Projects

Step 1. Determine Area Median Income for Project Location

Contact local or regional officials to determine the area median income associated with the project's location or, for U.S. projects, refer to the U.S. Department of Housing and Urban Development website for the most recent Income Limits.

Step 2. Determine Target Income for Residents

Use the AMI and Equation 1 to calculate the target household income percentages that the project seeks to serve. For projects to earn a point under Option 2, Path 2 of this credit, rental units must target household incomes that do not exceed 60% AMI. For-sale units must target household incomes that do not exceed 80% AMI.

Equation 1. Target Income

Target Income = AMI x household income percentage goal

Step 3. Adjust Target Income for Each Dwelling Size

Use Equation 2 and the appropriate bedroom (BR) factor(s) from the table below to calculate the adjusted target household income for each dwelling.

Bedroom (BR) factors for adjusting target income

Unit	BR Factor
Studio	0.70
1 BR	0.75
2 BR	0.90
3 BR	1.04
4 BR	1.16

Equation 2. Adjusted Target Income

$$\text{Adjusted target income} = \text{Target income} \times \text{BR factor}$$

Step 4. Calculate Maximum Pricing

Calculate the maximum price that would qualify a rental or for-sale unit of a given size as affordable, for each adjusted target income level.

- ▶ For rental units, determine the maximum monthly rent according to Equation 3. A factor of 30% is applied to adjusted target income as the recommended maximum percentage of income that households should spend on rent payments.
- ▶ For for-sale units, determine the maximum amount of income available to pay principal, taxes, and insurance (PITI) according to Equation 4. A factor of 28% is applied to adjusted target income as the recommended maximum percentage of income that households should spend on homeownership.

Equation 3. Maximum monthly rent

$$\text{Maximum monthly rent} = (\text{Adjusted target income} \times 0.30) / 12$$

Equation 4. Maximum monthly principal, interest, taxes, and insurance (PITI)

$$\text{Maximum monthly PITI} = (\text{Adjusted target income} \times 0.28) / 12$$

Step 5. Reserve Required Number of Affordable Units

Apply prices that do not exceed the calculated monthly rent or monthly PTI to the appropriate number of units. A point is achieved for meeting either threshold for minimum number of affordable units: at least 10% of total rental units (or at least one unit) priced up to 60% AMI, or at least 5% of total for-sale units (or at least one unit) priced up to 80% AMI.

Step 6. Obtain Binding Agreement to Maintain Affordable Rental Rates for At Least 15 Years.

Obtain a binding agreement from the responsible developer that the affordable rental rates will be maintained for at least 15 years, starting from the date of unit occupancy. This agreement may be in the form of a deed restriction, operating agreement, or other recorded document.

Further Explanation

Defining and Understanding Your Community

The U.S. EPA's [EJSCREEN: Environmental Justice Mapping and Screening Tool](#) is an invaluable resource for understanding the environmental justice context of a proposed land-use or building project.

Community Engagement

Consider community engagement approaches from other existing LEED credits, including:

- ▶ LEED Community Outreach and Involvement Credit
- ▶ LEED Integrative Process Credit
- ▶ LEED Inclusive Design Pilot Credit
- ▶ LEED Social Equity within the Community Pilot Credit

► LEED Integrative Process for Health Promotion

Demonstrating Community Benefits:

Community benefits are a project's contributions and opportunities for surrounding communities, local workers, and/or other populations affected by the project. Benefits may address a range of community issues, such as living wages, local hiring, and affordable housing requirements.

Exemplary Performance

Projects achieving more than two paths are eligible to receive an additional point for exemplary performance.

Related Credit Tips

IP Credit Integrative Process. The implementation of an integrative process must include all principal project team members and its results must be made available to key stakeholders including community members. Moreover, project teams may choose an additional lens through which to demonstrate the outcomes and benefits of an integrative process for an Exemplary Performance point. One of the optional issue areas to carry out analysis relevant to the project addresses social equity.

Connection to Ongoing Performance

LEED O+M LT prerequisite Transportation Performance: Locating a building on any of the high-priority site types addressed in this credit significantly increases the likelihood that the project will be in a dense area served by transit and diverse uses, which would in turn have a significant positive impact on the transportation patterns of building occupants. As a result, this credit makes a performance-based LT prerequisite Transportation Performance more achievable. LT prerequisite Transportation Performance evaluates a building's transportation characteristics through the collection and measurement of occupant survey data, rewarding projects based on how building occupants actually travel to and from the project.